

Field Activity Financial Management

SEAPOWER THROUGH ENGINEERING

TOPIC LEARNING OBJECTIVES

Upon successful completion of this topic, the student will be able to:

1. Recognize the types of cost contained in the different cost categories.
2. Recognize the two types of financial management systems.
3. Identify activities that are typically "Mission Funded" (General Funded (GF)) and those that are typically Working Capital Funded.
4. Recognize how the General Fund financial system operates.
5. Recognize the schedule for creating and reviewing an Expense Operating Budget (EOB) for a General Fund funded activity.
6. Recognize the definition of Navy Working Capital Fund Terminology (Net Operating Result and Accumulated Operating Result).
7. Recognize how the Navy Working Capital Fund (NWCF) System operates.
8. Identify the general criteria an activity must satisfy to become part of the Navy Working Capital Fund.
9. Recognize the schedule for the development of a budget for a Navy Working Capital Fund activity.
10. Recognize the major factors used to determine a stabilized labor rate.
11. Identify the documents used to task and transfer funds and the conditions for their use.

STUDENT PREPARATION

Student Support Material

1. None

Primary References

1. DOD 7000.14-R Financial Management Regulation

   https://comptroller.defense.gov/FMR/

2. OMB Circular A-11 (latest version AUG 2025)

   https://www.whitehouse.gov/wp-content/uploads/2025/08/a11.pdf

Additional References

1. None

Review of PPBE Process



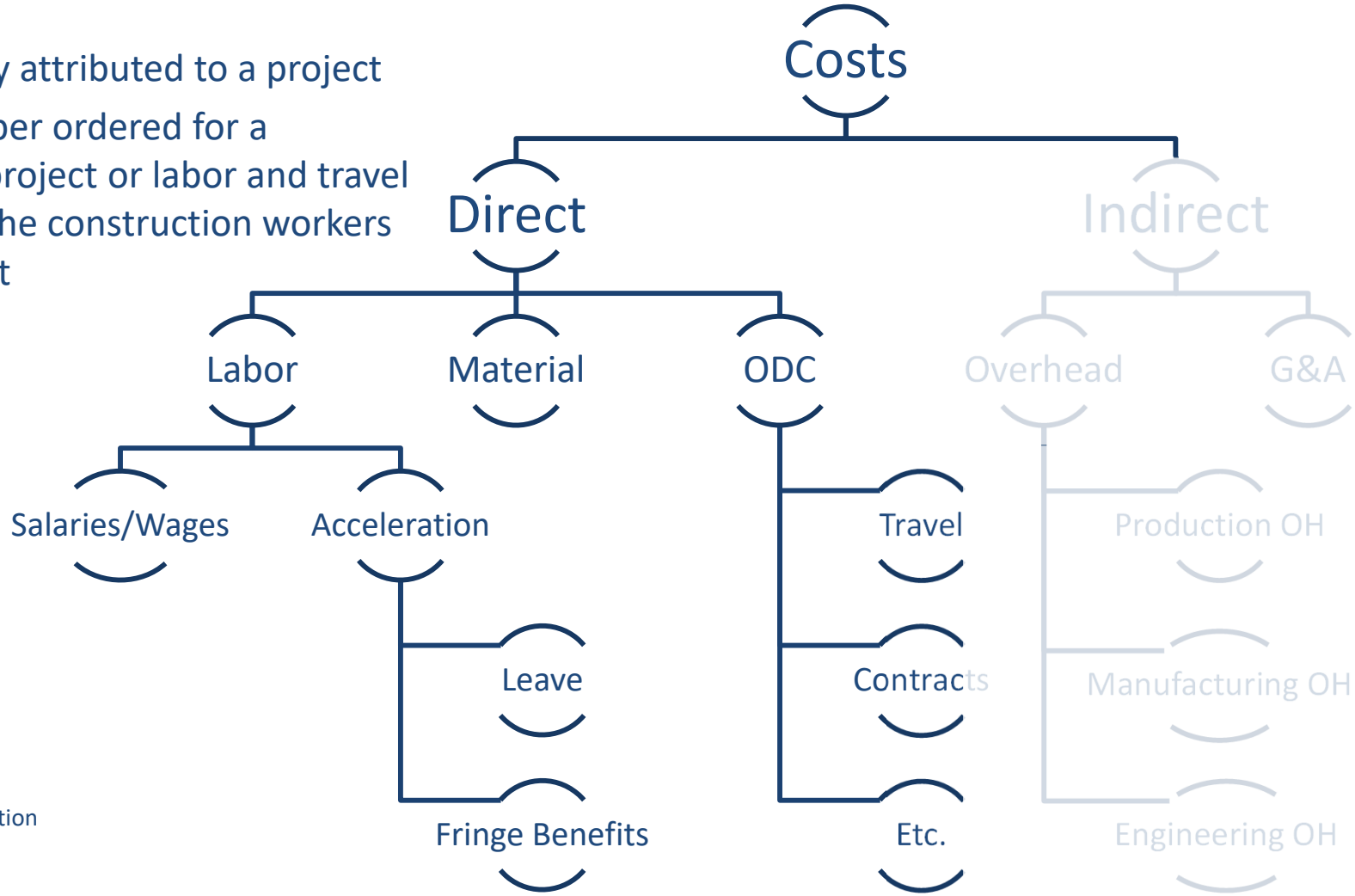
The art of distributing resources equitably

Overview

- Cost Terminology Review
- Financial Systems Overview
  - General Fund
  - Navy Working Capital Fund
- General Fund Operations
- Navy Working Capital Fund Operations
- Funding Documents

Cost Categories

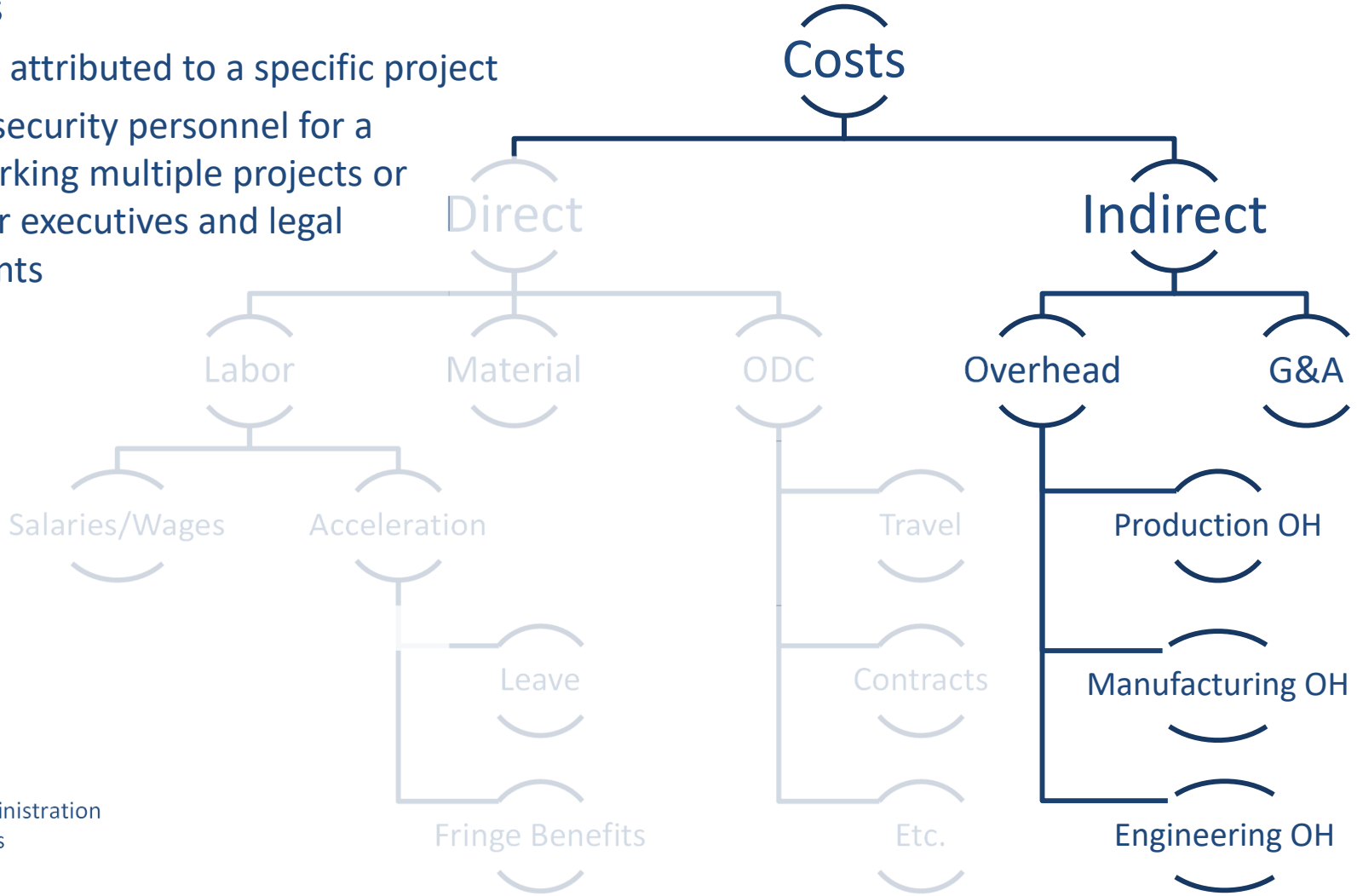
- Direct Costs
  - Can be directly attributed to a project
  - Example: lumber ordered for a construction project or labor and travel expenses for the construction workers on that project



G&A: General and Administration
ODC: Other Direct Costs
OH: Overhead

Cost Categories

- Indirect Costs
  - Cannot be attributed to a specific project
  - Example: security personnel for a facility working multiple projects or salaries for executives and legal departments

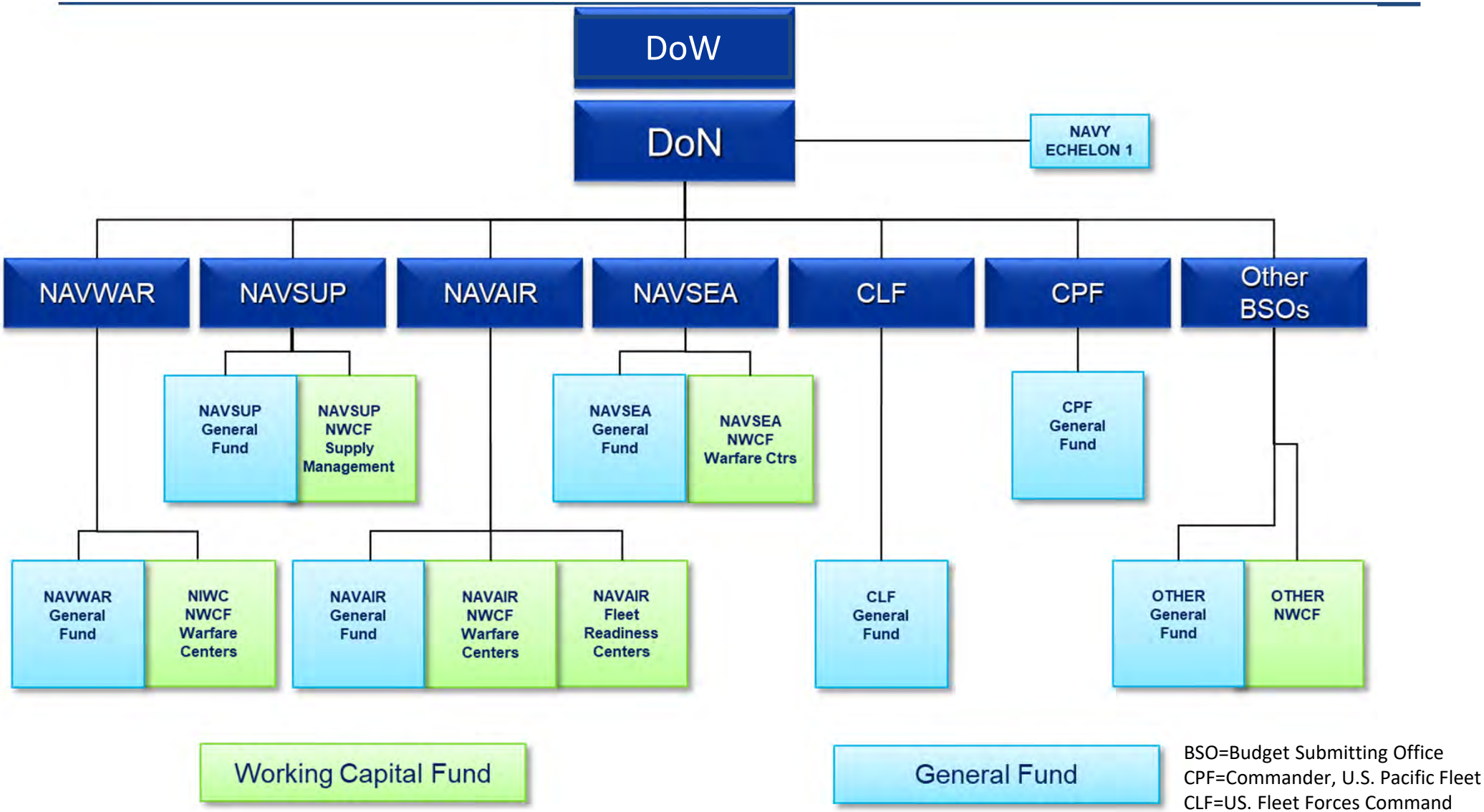


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Activity Examples



BSO=Budget Submitting Office
CPF=Commander, U.S. Pacific Fleet
CLF=US. Fleet Forces Command

2 Types of Financial Systems

- General (or Mission) Funded Activity
  - Receives fund allocations from the Congressional budget to accomplish their mission and pay their expenses
  - Organization funded through appropriations
  - "Checking Account" management
  - ***Financial goal: budget such that allocated funds are adequate to execute mission but not excessive***

- Navy Working Capital Fund (NWCF) Activity
  - Receives funds from multiple customers (other commands) to allow for executing tasking within assigned mission
  - Command does not receive funding from parent command via the normal apportionment process*
  - Receives no appropriated funding directly
  - "Credit Card" management
  - ***Financial goal: set pricing such that revenues and expenses break even over time***

*Some NWCF commands also have mission funded UICs, but the funds and resources cannot be mixed

Activity Examples

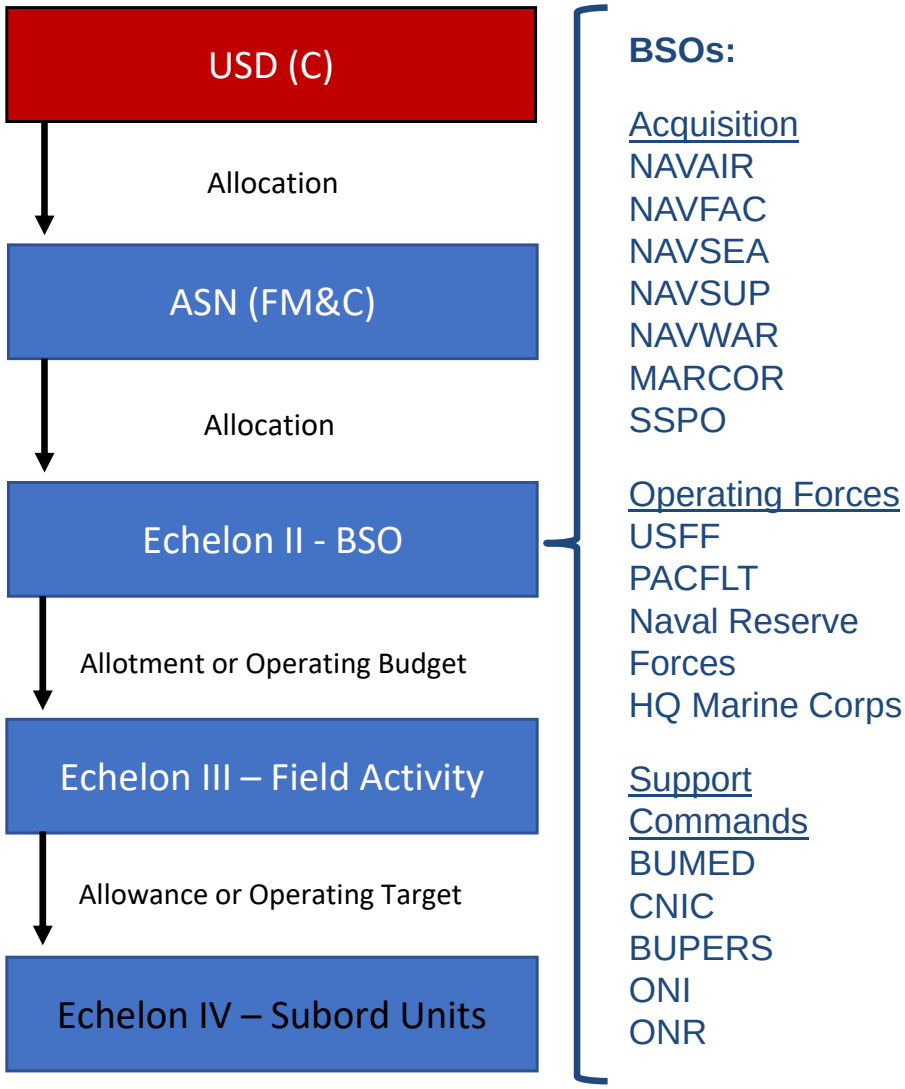
- Mission Funded Activities
  - Ship maintenance activities
    - Naval Shipyards
    - Regional Maintenance Centers
    - Ship Repair Facilities
  - Acquisition activities
    - Supervisors of Shipbuilding
    - Program Executive Offices
  - Systems Commands (HQ only)
  - Operating forces
    - Fleet commanders
    - Type Commanders (TYCOM)
    - Ships
  - Most other activities
    - EDO School
- NWCF Activities
  - SYSCOM Echelon III activities
    - NAVSUP Fleet Logistics Centers
    - NAVAIR Warfare Centers
    - NAVSEA Warfare Centers
    - NAVWAR Warfare Centers
    - NAVFAC Facility Engineering Commands and Expeditionary Warfare Centers
    - Naval Research Laboratory
  - Military Sealift Command
  - Depot maintenance (non-ship)
    - Fleet Readiness Centers (aircraft)
    - Marine Corps Depots

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General Fund Operation

- Appropriated funds are distributed via chain of command to organizations to fulfill their designated purpose (mission)
- ASN (FM&C) is the Echelon I activity that allocates funds to heads of major commands at Echelon II level
- Echelon II comptrollers manage funds and are referred to as Budget Submitting Offices (BSOs). BSOs manage and distribute funds to lower echelons in the form of allotments and Expense Operating Budgets (EOBs)
- Echelon III organizations provide allowances and operating targets (OPTAR) to their subordinate commands



Appropriated vs Reimbursable Funds for Mission-Funded Activities

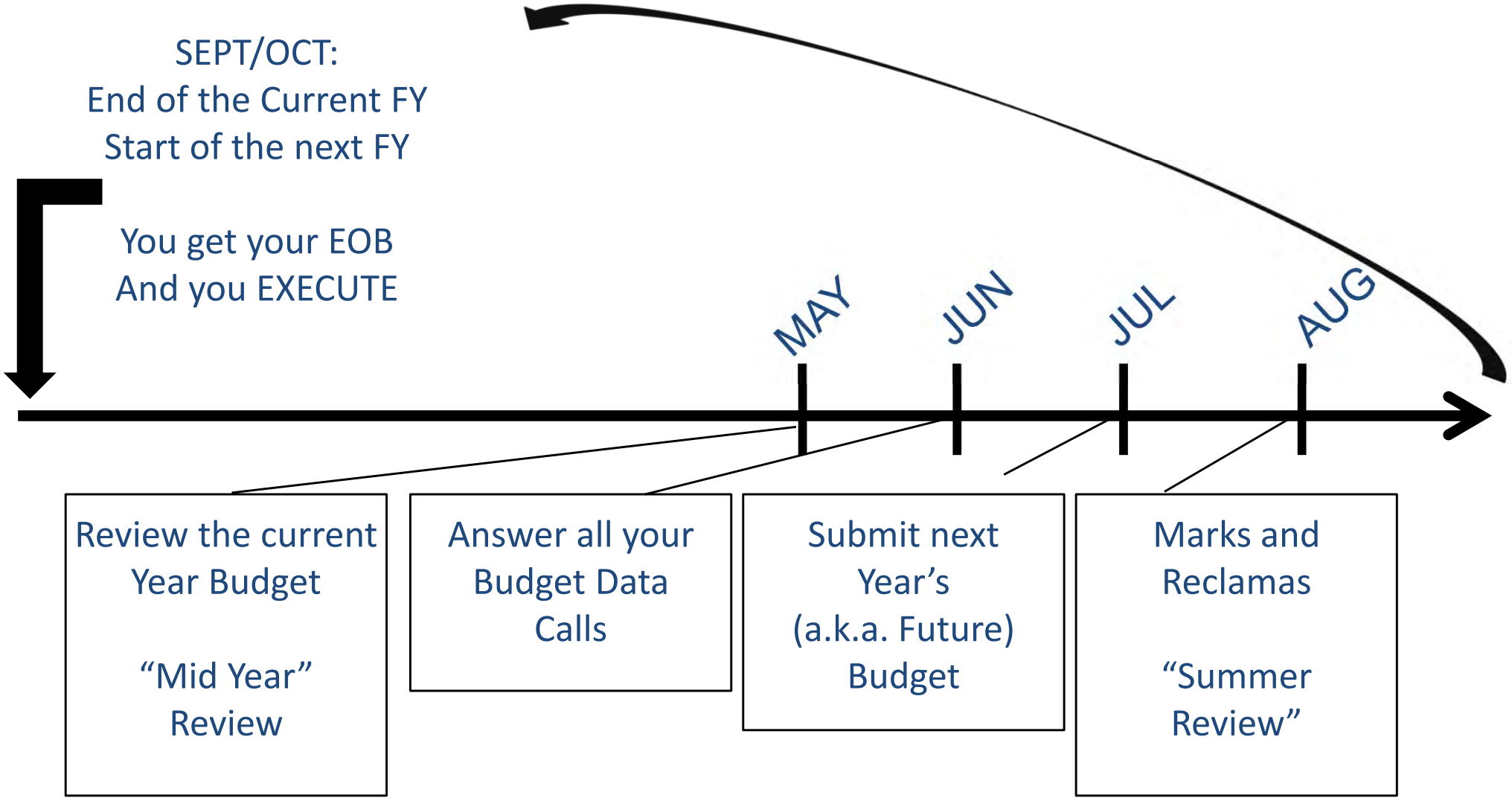
- Appropriated funds pay for:
  - Mission labor costs (civilian salaries)
  - Mission non-labor costs (material, travel, contracts)
  - All indirect costs (overhead)

- Reimbursable funds:
  - Mission-funded activities can also receive funds from other activities (customers) in exchange for items or services via funding documents
    - Example: If EDO school needs a contract for services, we cannot issue the contract ourselves because we have no contracting authority. Instead, we send funds (via a funding document) to our regional NAVSUP Fleet Logistics Center who does it on our behalf (for a fee)
  - For mission-funded activities, reimbursable funds pay for:
    - Direct labor actual costs associated with the project
    - Other direct costs (material, travel, contracts) for the project
    - ***No indirect costs*** **-** those ***must*** be paid for by the performing activity's mission funds

GF Budgeting Cycle
(budget for execution following year)

SEPT/OCT:
End of the Current FY
Start of the next FY

You get your EOB
And you EXECUTE



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What is the NWCF?

- A reimbursable operation that provides goods and services to the Department of War and other customers at rates necessary to recover all material and operating expenses
- A ***revolving fund*** that operates like a commercial business, but focused on mission requirements vice making a profit
- Receives no direct or appropriated funding from Congress
- NWCF is one of the four Defense Working Capital Fund (DCWF)
- DWCF is non-expiring funds ("no year" money) provided for and amended each year in the Defense Appropriations Act
  - The amount is adjusted each year based on carryover from previous years and projected orders for the WCF activities in the upcoming year
  - Routed as part of PPBE process like all other budget line items
- FMB manages over all corpus, with each SYSCOM responsible for their execution
  - i.e., each of the 10 NAVSEA Warfare Centers are considered the NAVSEA corpus in practice

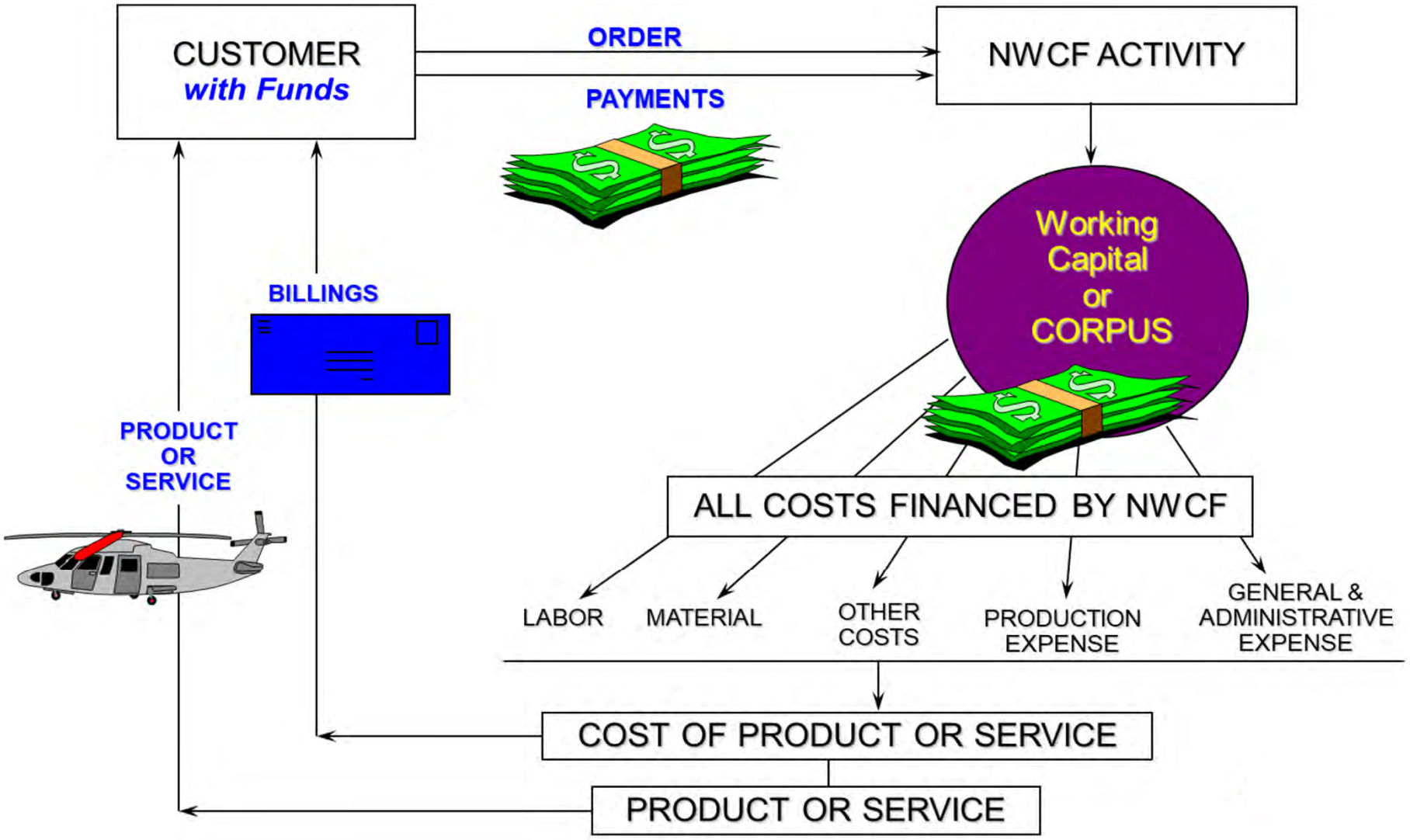
Criteria for Inclusion into NWCF

- Criteria required to be included within a Working Capital Fund (WCF):
  - The activity has an ***identified output*** (products and services) that serve DoW agency requirement
  - The activity must have an ***accounting system to collect cost*** for producing the output
  - Customers ***paying for output are identified*** so resources can be aligned to the customer's account
  - The activity must have evaluated the advantages and disadvantages of the ***buyer-seller relationship***

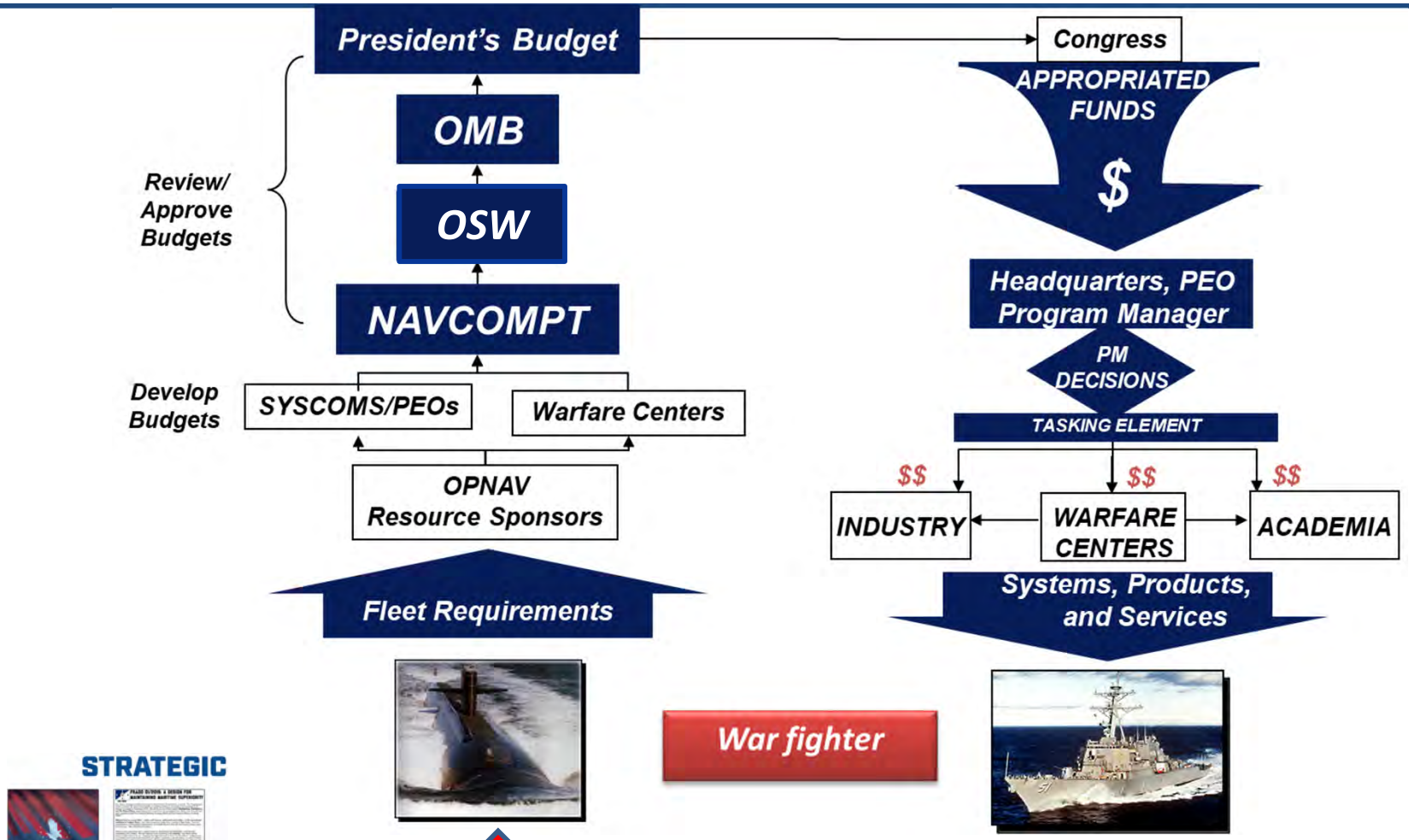
NWCF Cycle of Operations

- Congress provides corpus to begin operations
- NWCF activity receives reimbursable work request from customers for services via a funding document
- NWCF activity performs work and ***all costs (direct and indirect)*** are financed by the NWCF corpus (cash)
- Costs are based on established stabilized rates
  - Stabilized rates are maintained during year of execution helping customers plan and budget
- The customer is billed for costs incurred for services performed
- The customer pays bill which reimburses the NWCF corpus

NWCF Cycle of Operations



General and Navy Working Capital Fund Flows



Stabilized Labor Rates

- Stabilized Labor Rates (SLR)
  - Charged to customers to reimburse a NWCF activity for work performed
  - Required to be established during the budget process at levels estimated to recover:
    - Budgeted costs of goods or services to be provided including all G&A overhead costs
    - Prior period gains and losses
    - Approved surcharges for capital assets acquisition
- The budget process is the mechanism used to ensure adequate resources are budgeted in the customers' appropriated fund accounts to pay the established rates and prices
- Provides budget stability to customers

$$\frac{\text{(Direct labor \$ + Overhead \$ + AOR recoup \$)}}{\text{Direct hours}}$$

Stabilized Labor Rate Computation

Stabilized Labor Rate (SLR) =

G&A Rate +

CO/XO	Legal	Security
Facilities	IT	Comptroller
PAO	Utilities	Safety

Overhead Rate +

Training	Bonus Pools
Dept. Admin	Technical Support
Supplies	

Direct Labor Rate +

Salary	Holidays
Retirement	Health Insurance
Leave	Social Security

AOR Recoupment Adjustment

Positive or negative surcharge designed to achieve the NOR (profit or loss) necessary to zero out AOR at the end of the year

$$\text{G\&A Rate} = \frac{\text{G\&A Budget}}{\text{\# Total Predicted Labor Hours}}$$

SLR consists of (1) direct labor, (2) all indirect expenses, (3) AOR recoupment

Stabilized Labor Rate Example

Customer Rate = ($ Per Hour) {Cost of Direct Labor + Overhead Expenses ± AOR Recoupment} / Civilian & Military Direct Hours

- Rates are an output of the NWCF budget process and used to price customer budgets
- NWCF activities budget to break-even (no gain or loss) in the budget year
- Any gains or losses are returned to customers via stabilized rate adjustments in the out years (FY+2)
- Overhead is the cost (not specific to a customer) to operate and maintain a NWCF activity
- All customers, Naval and non-Naval pay the same rates for services

FY26 Customer Rate Structure

FY26

24% General & Administrative Overhead
- CO/XO/TD (fixed)
- Comptroller
- Security
- IT/Business Support
- ERP (fixed)
- Public Affairs Office
- Region Support (fixed)
- Legal
- Facilities SRM (fixed)
- Command Admin (fixed)
- Safety (fixed)
- Utilities (fixed)
- NISE – 2% (fixed)
- Performance Awards (fixed)

8% Production Overhead
- Technical Line Support
- Resource Management
- Training
- Materials and Supplies

70% Direct
- Direct Labor (salary plus benefits)

Direct Labor Includes All Benefits
- CSRS / FERS (Retirement)
- Thrift Savings Plan (TSP)
- Annual Leave
- Sick Leave
- Holiday & Other Leave (ex. Admin Leave)
- FICA Taxes
- FEGLI
- FEHB
- Medicare
- Social Security

- 2% AOR Recoupment

Customer rate adjusted for prior year variances (Accumulated Operating Result Pay back/Recoup prior year operating variance)

Operating Results

- Net Operating Result (NOR)
  - Used to monitor how closely a NWCF activity performs compared to its budget
  - Current year's profit or loss based on revenue and expenses
  - NOR = Revenue – Expenses
- Accumulated Operating Result (AOR)
  - The gains and losses since inception
  - AOR (current year) = AOR (previous year) + NOR (current year)
  - Used to build SLR and set prices
  - While the AOR is managed at Navy level, each SYSCOM must manage their AOR (vs each command)
- SLRs are set to generate a breakeven AOR of $0 in the Budget Year
  - Customer rates are increased or decreased based on the NOR to achieve a zero AOR in the budget year
    - A gain decreases rates two years out (customer pays lower prices in later years)
    - A loss increases rates two years out (customer pays higher prices in later years)

NWCF activities set their rates in an attempt to get AOR to zero

NWCF Budget Timeline

- February - April: NWCF activities begin internal budget formation
- April - May: NWCF activity level budgets are consolidated into an NWCF activity group budget (at the headquarters level) and submitted to the appropriate Budget Submitting Office (BSO)
- May - June: The BSO submits the NWCF activity group budget to OMB
- July - August: Based on adjustments approved during the DoN budget review, the NWCF activity group budget is submitted by FMB to DoW
  - This submission becomes the Budget Estimate Submission (BES)
- September: NWCF activity group budget is submitted by DoW to Congress
- February: President signs the budget on the first Monday in February
  - President's Budget sets stabilized rates for the Budget Year, 18-24 months in advance

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Customer funding

- Customer funding received at a NWCF activity is accepted on either a reimbursable basis or on a direct citation of funds basis
  - Reimbursable
    - Costs charged to NWCF corpus
    - NWCF activity responsible for payment, then bills customer for requirement
    - 51/49 rule applies to some DoW funds accepted on reimbursable basis
  - Direct Cite
    - For commercial contracts only
    - Costs not charged to NWCF corpus
    - Customer's line of accounting cited on awarded contracts

- Cost Stages:
  - Committed (funding document received)
  - Obligated (contract awarded)
  - Costed (work is performed or material/equipment received)

Carryover

- Consist of the dollar value of ***reimbursable*** work that has been ordered and funded by customers but not yet completed at the end of the fiscal year
- Carryover = Available Balance (Cash) + Commitments + Obligations
  - Costed transactions are not included in carryover
- NWCF activities require some level of carryover funding to start the new Fiscal Year
- Congress views excess carryover as an indication of too much funding
  - If a NWCF activity exceeds its carryover ceiling, the customer (PAE) may take marks (reduction in budget) in a future year
- Funds not included in carryover calculation:
  - Non-Federal, Non-DoW, and Base Realignment and Closure (BRAC)
  - Funds accepted direct cite

Funding Documents

- Funding Documents are vehicles with which funds can be transferred from one activity to another in exchange for goods and/or services
- Come in many formats. Some common ones in the Navy:

Document	Statutory Authority	When Issued As	Use For
NAVCOMPT Form 2275, Work Request (WR)	Economy Act	Reimbursable	Internal DON Actions
NAVCOMPT Form 2275, Project Order (PO)	Project Order Statute	Reimbursable	Internal DON Actions
NAVCOMPT Form 2276 (RCP)	Economy Act / Authority to Contract	Direct Citation	Internal DON Actions
Procurement Request	Authority to Contract	Direct Citation	Internal DON Actions
NAVCOMPT Form 2276A, Work Request (WX)	Economy Act / Authority to Contract	Reimbursable / Direct Citation	Internal DON Actions
NAVCOMPT Form 2276A, Work Request (PX)	Project Order Statute / Authority to Contract	Reimbursable / Direct Citation	Internal DON Actions
NAVCOMPT Form 2276A, Project Order (RX)	Economy Act (in combination with contract)	Direct Citation	Internal DON Actions
MIPR, DD Form 448	Economy Act	Reimbursable or Direct Citation	Internal DOD Actions
MIPR, DD Form 448	Project Order Statute	Reimbursable	Internal DOD Actions
IPR, DD Form 448 (or similar format)	Non-Economy Act	Reimbursable	External DOD Actions
IPR, DD Form 448 (or similar format)	Economy Act	Reimbursable	External DOD Actions

RCP: Request for Contractual Procurement
MIPR: Military Interdepartmental Purchase Request
IPR: Interdepartmental Purchase Request

Work Requests (WR)
(a.k.a. Economy Act Orders)

- Used to request routine or recurring day-to-day services within the Navy
  - Typically, level-of-effort activities that support operations of the requesting activity
  - e.g., maintenance, custodial services, training, utilities, etc.
- Work must be completed before expiration of funds cited (i.e., O&M,N by 30 Sep)
- Cannot be used to fund the basic mission of the performing activity

Project Orders (PO)

- Description of work and period of performance must be very specific
  - Must produce tangible end product
- Work completion date can extend past the expiration date of funding, but not beyond the cancellation of the appropriation:
  - PO's ***may not*** be issued at the end of a fiscal year solely to extend the life of an appropriation
  - No increase in scope can be made after funding expires
- Must comply with the "51/49" Rule
  - Must perform at least 51% of the work with in-house resources:
    - Government labor, travel, supplies, materials, and other non-labor costs
    - Can include Contractor support usable only to performing organization in overall accomplishment of work required by customer
  - Only 49% of total reimbursable funds may be used out-house
- Can only be issued to a DoW activity and only on a reimbursable basis

POs extend the life of the cited funds beyond the expiration of the appropriation (and therefore come with lots of rules and restrictions)

Other Funding Documents

- Military Interdepartmental Purchase Request (MIPR)
  - A method for transferring funds from ***one military organization to another*** to procure services, supplies, or equipment for the requiring service
  - Accepted on a direct citation or reimbursable basis

- Interdepartmental Purchase Request (IPR)
  - Used when requiring activity and performing activity are from different departments (***one party outside DoW***)
  - Cannot cite Project Order Statute (not allowed outside DoW) but can cite Economy Act and other statutory authorities that a non-DoW entity might have (referred to as non-Economy Act authorities)

- Fiscal Service Form 7600B
  - Used in accordance with G-Invoicing System of Record (as applicable) in either manual format or electronic format if both parties are active in G-Invoicing
  - Used for reimbursable buy/sell Intra-governmental transactions(IGTs) for all goods/services
  - Not limited to Economy Act (EA) or Project Order (PO) authorities only; may allow other statutory authorities as applicable

Summary

- A NWCF command is financially successful if _____
- What are the components of the stabilized labor rate?
- A command is considering sending NAVFAC a funding document to re-carpet the building using its O&M,N funds. It is currently August and it is estimated that the carpeting project will start in September and end in November. What type of funding document is appropriate and why?